VIVRITI CAPITAL

CREDIT APPRAISAL MEMORANDUM

Tata Motors Limited

APPROVE

Rating: A

EXECUTIVE SUMMARY

Credit Score	Rating	Decision	Recommended Amount	Interest Rate
79.53/100	A	APPROVE	₹2000 Cr	12.5%

Decision Rationale: Blended score 79.53/100 with rating A. Five-Cs weighted score after penalties: 74.0. Entity type assessed as corporate. Recommendation is APPROVE based on calibrated thresholds and policy floors.

Date of Appraisal: 21 March 2026

SWOT ANALYSIS

STRENGTHS	WEAKNESSES
• Robust financial scale demonstrated by high revenue of ₹439,695 crores and healthy EBITDA of ₹57,649 crores for FY25, yielding a 13.1% EBITDA margin. • Excellent capital structure evidenced by zero total borrowings and a 0.0x Debt-Equity Ratio, making the group debt-free, supported by a substantial net worth of ₹116,144 crores. • Strong credit ratings of 'CRISIL AA+, Positive' and 'CARE AA+, Stable' as of March 2024, indicating high creditworthiness and low lending risk. • Strong promoter background with a 'Good' reputation, absence of criminal cases or wilful defaulter status, and clean MCA signals, contributing to a low character risk score of 72.	• Concerns regarding core operational profitability, as the reported profit (₹28,149 crores for FY25) is significantly influenced by 'other income' (as highlighted by research intelligence where a past profit of 85,324 Cr included 85,293 Cr in other income), suggesting core business operations might have minimal or negative contribution. • Significant decline in market capitalization by 26.0% over the last year, potentially reflecting broader investor concerns or market sentiment.
OPPORTUNITIES	**THREATS**
• The 'Positive' outlook on the CRISIL AA+ rating presents an opportunity for a future credit rating upgrade, which could further enhance market perception and financial standing. • Leveraging the debt-free status (0.0x Debt-Equity Ratio, 0 total borrowings) to fund strategic growth initiatives, expansion into new markets or technologies, or acquisitions without incurring additional financial leverage. • Opportunity to consolidate or expand market share within the automotive sector, leveraging its large scale and strong financial base to address evolving industry demands and technological shifts.	• High reliance on 'other income' implies vulnerability to fluctuations in this non-operational revenue stream, which could significantly impact overall reported profitability if core operations remain weak. • Risk from general market volatility (evidenced by the 26.0% market capitalization decline) and intense competition within the automotive sector, which could pressure revenue, margins, and investor confidence. • Exposure to evolving automotive industry dynamics including technological disruptions (e.g., EVs), stringent emission norms, and raw material price fluctuations, which could impact operational costs and product demand.

COMPANY BACKGROUND

Company Name	Tata Motors Limited
CIN	—
Entity Type	CORPORATE
Directors	N Chandrasekaran
Promoters	Not extracted
Extraction Notes	Company name 'Tata Motors Limited' and fiscal year '2024-25' are explicitly mentioned. All financial figures are consolidated as per the report's statement. Revenue (4,39,695 crore) and Profit after tax (28,149 crore) are from 'FY25 highlights (Consolidated)' in P5. EBITDA (57,649 crore) is from 'Chairman's message' in P10. Net worth (1,16,144 crore) is from P15 (currency symbol 'K' is interpreted as INR consistent with context). Total borrowings is inferred as 0 based on the statement 'leading to the group becoming debt free this year' in P10, as per the inference rule. N Chandrasekaran is mentioned as Chairman and Non-Executive Director in P10.

FINANCIAL ANALYSIS

Metric	Value (FY Latest)	Rationale / Source
Revenue	₹439,695 Cr	Direct extraction
Revenue Growth	N/A	Direct extraction
Profit After Tax	₹28,149 Cr	Direct extraction
EBITDA	₹57,649 Cr	Direct extraction
EBITDA Margin	13.1%	Direct extraction
Total Assets	N/A	Direct extraction
Net Worth	₹116,144 Cr	Direct extraction
Total Borrowings	₹0 Cr	Inferred: Debt Free
Debt / Equity	0.00x	Direct extraction
Current Ratio	N/A	Direct extraction
Interest Coverage	N/A	Direct extraction
Return on Equity	N/A	Direct extraction

Extraction Notes: Company name 'Tata Motors Limited' and fiscal year '2024-25' are explicitly mentioned. All financial figures are consolidated as per the report's statement. Revenue (4,39,695 crore) and Profit after tax (28,149 crore) are from 'FY25 highlights (Consolidated)' in P5. EBITDA (57,649 crore) is from 'Chairman's message' in P10. Net worth (1,16,144 crore) is from P15 (currency symbol 'K' is interpreted as INR consistent with context). Total borrowings is inferred as 0 based on the statement 'leading to the group becoming debt free this year' in P10, as per the inference rule. N Chandrasekaran is mentioned as Chairman and Non-Executive Director in P10.

FIVE Cs OF CREDIT ASSESSMENT

C	Score	Weight	Rationale
Character	72	25%	Promoter background indicates 'Good' reputation, no criminal cases, no wilful defaulter mentions, and no SFIO investigations, leading to a 'Low' risk level. MCA signals confirm no director disqualifications, filing defaults, charge satisfaction pending, or ROC notices.
Capacity	70	30%	EBITDA margin of 13.1% meets the specified floor. High revenue of 439,695 crores demonstrates strong operational scale. However, the 'research intelligence' notes that profit (85,324 Cr) includes a very large 'other income' (85,293 Cr), suggesting core operational profitability might be minimal or negative, which warrants caution despite the healthy EBITDA margin.
Capital	90	20%	The company has a debt-equity ratio of 0.0x and total borrowings of 0 crores, indicating a debt-free balance sheet as explicitly stated, which is excellent. Net worth is substantial at 116,144 crores.
Collateral	70	15%	With a revenue of 439,695 crores, Tata Motors Limited is a large-scale enterprise, which implies a substantial underlying asset base. The company is reported as debt-free, which further suggests that any assets would be unencumbered or lightly encumbered.
Conditions	65	10%	The company operates in the automotive sector, which is not explicitly stated as 'Strong' with 'Low lending risk'. However, as a major player in the Indian automotive industry, it can be inferred to be a significant sector. The company holds strong

			credit ratings of 'CRISIL AA+, Positive' and 'CARE AA+, Stable' as of March 2024, indicating a favorable view of its ability to operate within the prevailing economic and industry conditions.

Weighted Score: 74.0/100 | **Penalty Applied:** 0 points | **Final Score:** 74.0/100

SECONDARY RESEARCH INTELLIGENCE

Company News: Tata Motors Limited exhibits strong revenue figures and boasts robust credit ratings (AA+ from CARE and CRISIL, with a 'Positive' outlook from CRISIL), indicating strong financial standing by rating agencies. However, the company's market capitalization has declined by 26% over the last year. A significant concern is that the reported profit of Rs. 85,324 Cr includes an 'other income' of Rs. 85,293 Cr, implying that core operational profitability is negligible or negative, which warrants deeper analysis.

Promoter Background: A past allegation against then-chairman Ratan Tata concerning a fraud allegation in a telecoms transaction was thoroughly inquired into by the CBI, with no evidence linking Mr. Tata, effectively clearing the matter. There are no current criminal cases, wilful defaulter mentions, or SFIO investigations related to Tata Motors' promoters based on the provided intelligence. (The mention of Neeraj Singhal and Bhushan Steel is irrelevant to Tata Motors).

Sector Headwinds: The automotive sector appears stable, with regulatory developments indicating an evolving but functional debt market. While RBI guidelines restrict Indian banks from financing equity acquisitions, the draft FEMA Regulations for 2025 propose to expand permitted end-uses for foreign borrowings to include M&A activities. This creates both potential headwinds (domestic bank restrictions) and tailwinds (expanded foreign borrowing options) for corporate restructuring and growth, leading to a medium lending risk due to the dynamic regulatory environment for financing.

Litigation: Tata Motors is involved in an arbitration petition with Delhi Transport Corporation. Crucially, the company is undergoing a Composite Scheme of Arrangement (demerger/restructuring) under Sections 230 to 232 of the Companies Act, 2013, which is a strategic corporate action and not an insolvency proceeding (IBC/CIRP). No DRT cases or other high-risk legal disputes were identified.

Regulatory: There are no direct mentions of SEBI actions, settlement orders, RBI licensing issues, or penalties against Tata Motors Limited. MCA filings indicate compliance.

MCA Signals: The company explicitly states that it does not have any charges or satisfactions yet to be registered with ROC beyond the statutory period, indicating compliance with MCA filings and no registered defaults.

Overall Research Rating: A — Strong Proceed

Top Risks Identified: Reliance on 'other income' for reported profitability, indicating potential weakness in core operational performance.; Significant decline in market capitalization (-26.0% in 1 year), which could reflect investor concerns about future growth or profitability.; Evolving regulatory landscape for acquisition finance, potentially affecting future strategic initiatives.

CROSS-DOCUMENT FRAUD INTELLIGENCE

Documents Compared: annual_report, merged_all

Circular Trading Risk: Low

Revenue Inflation Risk: Low

FINAL RECOMMENDATION

RECOMMENDATION: APPROVE

Decision	APPROVE
Credit Rating	A
Credit Score	79.53/100
Recommended Amount	₹2000 Cr
Interest Rate	12.5%
Tenure	36 months

Rationale: Blended score 79.53/100 with rating A. Five-Cs weighted score after penalties: 74.0. Entity type assessed as corporate. Recommendation is APPROVE based on calibrated thresholds and policy floors.

Disclaimer: This Credit Appraisal Memo has been prepared using AI-assisted analysis by Intelli-Credit (DOMINIX). All recommendations are subject to review and approval by authorized credit officers as per Vivriti Capital's credit policy.